

NovaTech Enterprises

HR-POL-003 | Performance Management Policy

1. Overview

NovaTech's performance management framework is designed to align individual goals with company strategy, foster continuous development, and recognise outstanding contributions. The cycle runs on a calendar-year basis.

2. Goal Setting

Managers and employees must agree on 3 to 5 SMART goals within the first 30 days of each calendar year or within 30 days of joining. Goals must be documented in the HRIS system. At least one goal must align to the team's strategic objectives.

3. Mid-Year Check-In

A structured mid-year review must be completed between 1 June and 31 July. Goals may be revised with mutual agreement. The check-in focuses on progress, barriers, and development needs. No ratings are assigned at mid-year.

4. Year-End Review

Year-end reviews must be completed by 31 January of the following year. Employees are rated on a five-point scale: Exceptional, Exceeds Expectations, Meets Expectations, Needs Improvement, and Unsatisfactory. Calibration sessions are held at director level.

5. Performance Improvement Plans

Employees rated Needs Improvement for two consecutive reviews will be placed on a formal Performance Improvement Plan (PIP) lasting 60 to 90 days. The PIP outlines specific, measurable targets. Failure to meet PIP targets may result in termination.

6. Ratings and Compensation

Year-end ratings are directly linked to annual merit increases and bonus eligibility. The merit budget is allocated to departments based on aggregate ratings. Individual increases must be approved by the CHRO for any amount exceeding the guideline range.